DAY 2 · VENDOR OPERATIONS

Should we really penalize 3,000 sellers?

> *"Leadership is furious about dispatch delays and wants a blanket penalty on all 3,000 sellers. Before we trigger a seller revolt: who is actually breaking our promises? I need defensible names on my desk today."*
>
> **Camila Duarte**, Head of Vendor Operations

46,219
order items analysed

3,000
sellers facing a penalty

6 months
January to June 2018

Prepared by Shatayu Roy · MySQL analysis of the public Olist dataset, January to June 2018 · Simulated case

THE BRIEF

What needed to be checked

Camila’s questions

- Are sellers missing their dispatch deadline more often?
- Does a late dispatch reach the customer?
- Which sellers should be named?

My own checks

- Does a seller delay alone hurt the review?
- Does the result hold at a different breach limit?
- Did some ‘improved’ sellers simply stop selling?
- Are any dates impossible?

THE ANSWER

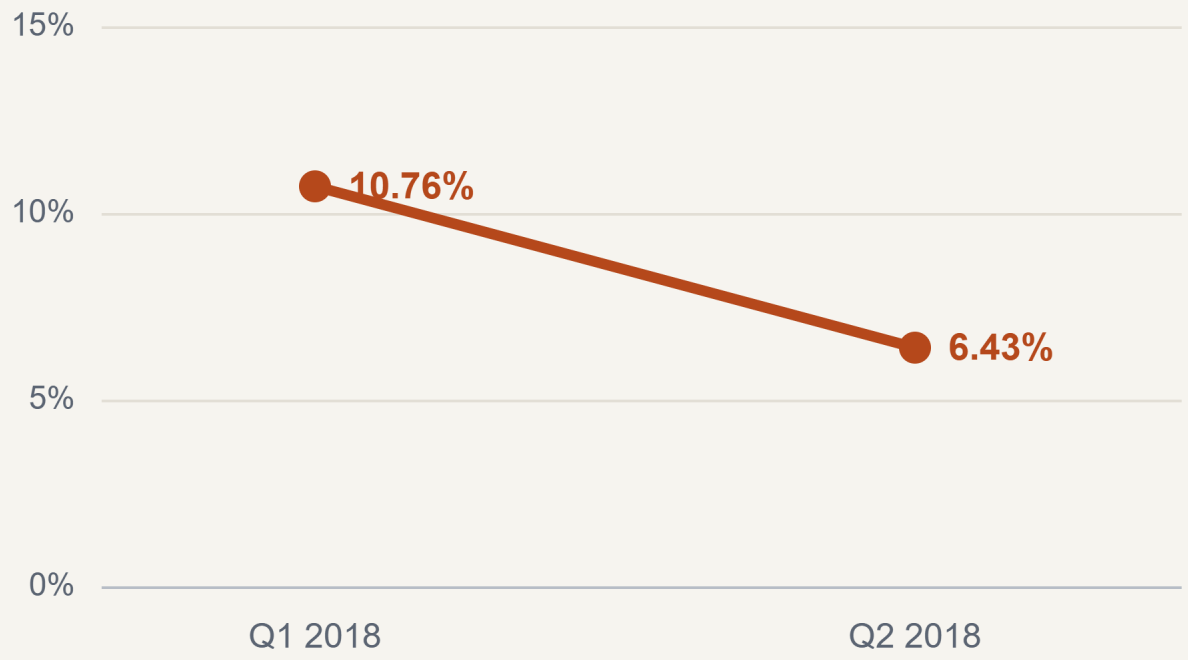
No blanket penalty: 12 sellers drive 43% of seller-caused late deliveries

1 · TREND	Seller dispatch breaches fell from 10.76% in Q1 to 6.43% in Q2.
2 · REACH	Only 0.97% of Q2 items reached the customer late because of the seller.
3 · REVIEWS	A seller delay the courier made up for scored 4.12 stars, almost a clean 4.23.
4 · NAMES	12 sellers caused 95 of 220; only 7 also had a bad Q1.

1 · TREND

Sellers already miss fewer deadlines: breaches fell from 10.76% to 6.43%

Share of items dispatched after the seller's deadline



2,537 → 1,457

breached items, Q1 to Q2, while item volume stayed flat (23.6k vs 22.6k)

Customers felt it too

Day 1: orders delivered late fell from 12.88% to 4.17% over the same months, so the crisis was already easing.

Delivered items grouped by purchase date · Olist delivery audit · Day 2

2 · REACH

85% of late seller dispatches still reached the customer on time

	Customer got it on time	Customer got it late
Seller on time	**Clean delivery** 90.59% 20,513 items	**Carrier late** 2.98% 675 items
Seller late	**Rescued by courier** 5.46% 1,236 items	**Seller caused it** 0.97% 220 items

85%

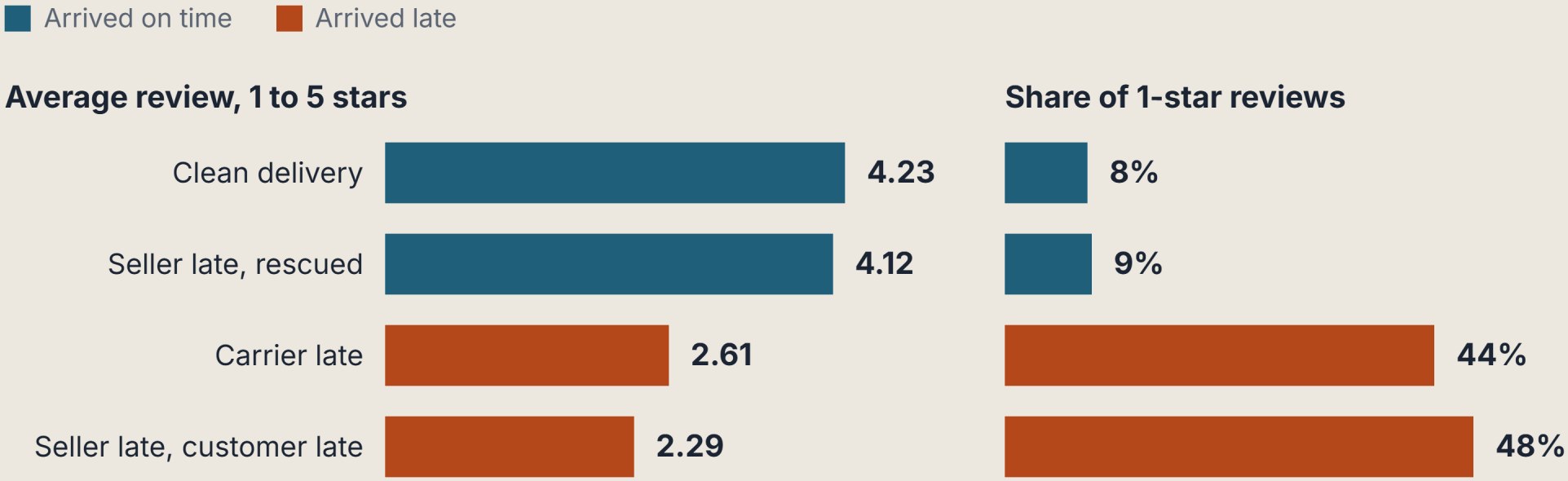
of late seller dispatches (1,236 of 1,456) still arrived on time.

Carrier-caused late deliveries (675) were about 3 times the seller-caused ones, the same pattern as Day 1.

Q2 2018 delivered items, 22,644 in total · Olist delivery audit · Day 2

3 · REVIEWS

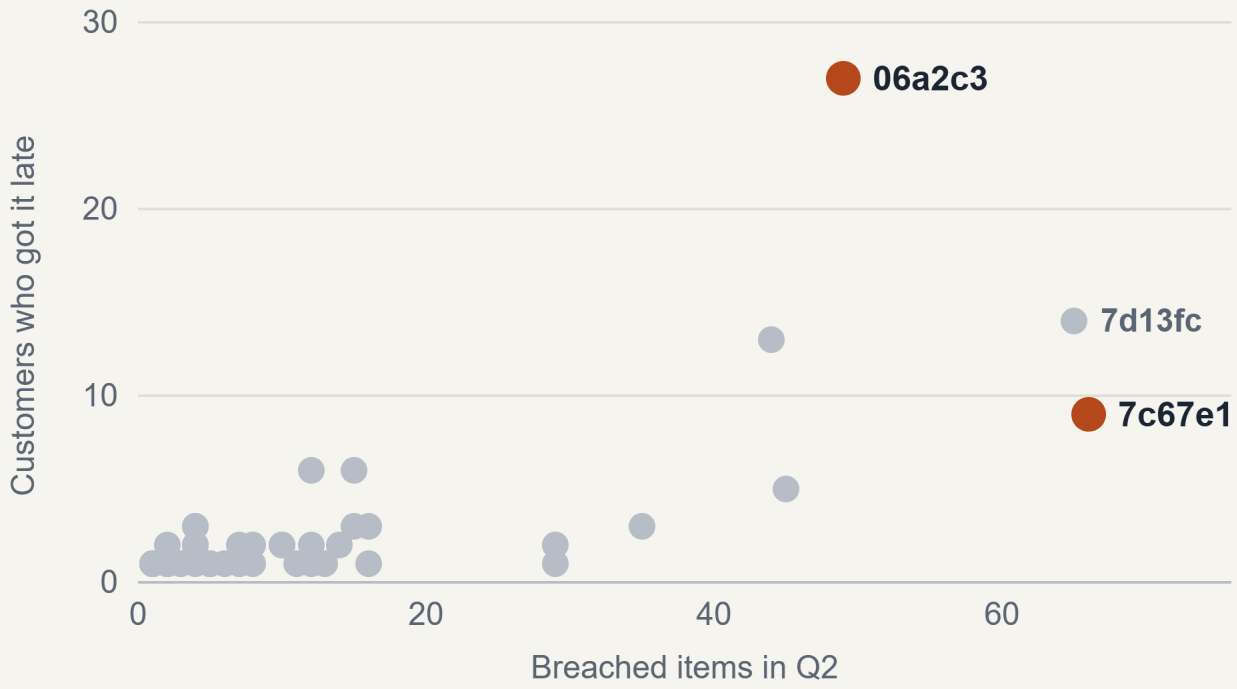
Reviews punish late arrival, not seller delay



Customers of high-breach sellers gave 3.94 stars on average, against 4.19 for other sellers with 20+ items. The gap is real but moderate, and it likely follows the late deliveries those breaches cause.

4 · NAMES

Counting breaches blames the wrong seller



06a2c3

49 breaches, 27 late customers. More than half of its breaches reached the customer.

7c67e1

66 breaches, the most of anyone, but only 9 late customers.

Each dot is one Q2 seller with 20+ items and at least one late customer (49 sellers) · Olist delivery audit · Day 2

4 · NAMES

History is not enough: chronic sellers explain only a third of the harm

	Q2: under 10% breached	Q2: 10% or more
Q1: 10% or more breached	**Reformed** 11 late customers · 33 sellers	**Chronic** 75 late customers · 25 sellers
Q1: under 10%	**Compliant** 17 late customers · 80 sellers	**Got worse** 3 late customers · 8 sellers

Not shown: 96 sellers with too little history (43 late customers) and 14 who exited.

Limit test

At 15%, chronic sellers drop from 25 to 15, but their late customers only from 75 to 68.

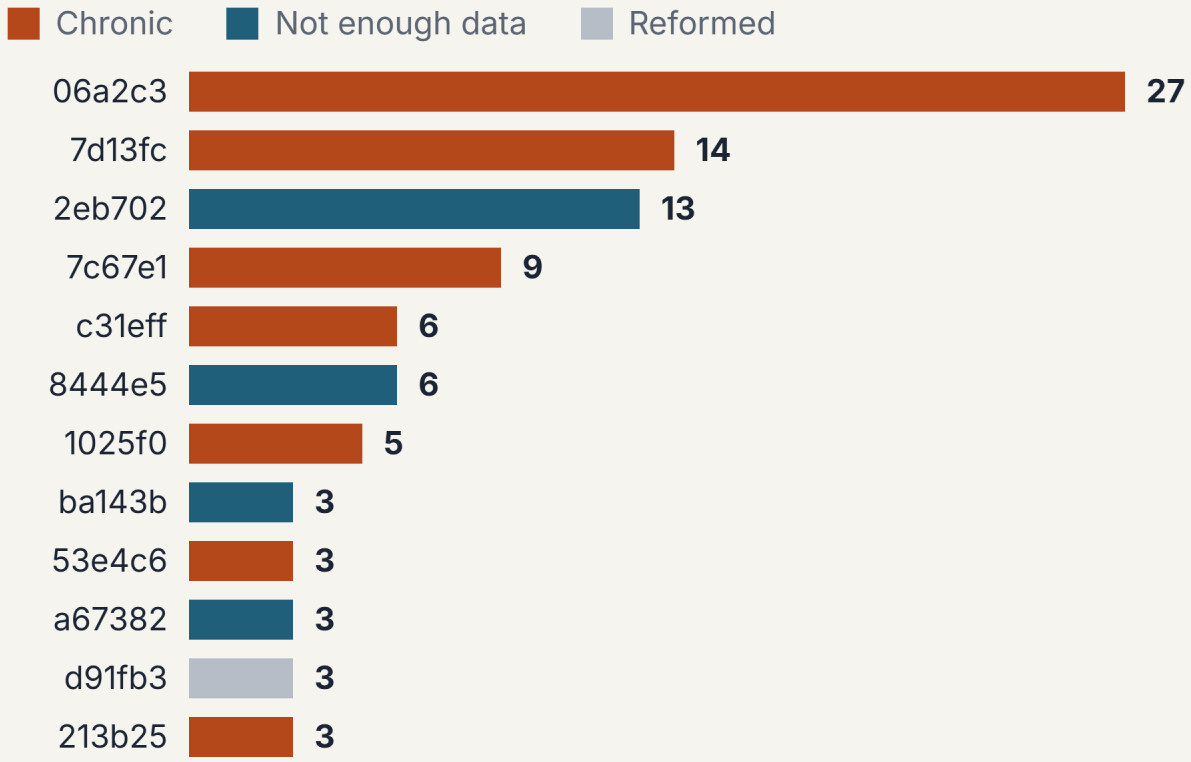
Reformed or exited?

14 sellers almost stopped selling in Q2 (under 5 items), so they are labeled exited, not reformed.

Sellers with 20+ items in both quarters; breach limit 10% of items · Olist delivery audit · Day 2

4 · NAMES

The 12 names: 43% of seller-caused late deliveries



43%

95 of 220 seller-caused late deliveries in Q2 came from these 12 sellers.

Only 7 of the 12 were chronic. 4 had too little history, and 1 counted as reformed by breach rate but still made 3 customers late.

Rule: 20+ items in Q2 and 3+ late customers caused by the seller's own delay · Olist delivery audit · Day 2

WHAT TO DO

Recommendations

12

Review, then act

Check each seller’s orders, products and regions, then agree an action with them. No blanket penalty.

From findings 3 and 4

96

Monitor new sellers

Too little history to judge fairly. Re-check them after Q3 instead of penalizing now.

From finding 4

3×

Fix the carrier side too

Carrier-caused late deliveries (675) were about 3 times the seller-caused ones (220).

From finding 2 and Day 1

Success measure: late deliveries caused by these 12 sellers in Q3, compared with 95 in Q2.

WHY IT MATTERS

What the company gains by targeting 12 sellers

95

Late deliveries avoided, at most

If the 12 fix their dispatch and couriers deliver on time, seller-caused late deliveries fall from 220 to as few as 125 a quarter: from 0.97% to about 0.55% of items.

~38

Fewer 1-star reviews (estimate)

Those late deliveries get 48% 1-star reviews, against 8% when on time. About 38 fewer 1-star reviews a quarter, a rough estimate.

0.4%

Of sellers touched

12 of about 3,000. The rest keep selling with no penalty, so the platform does not risk losing good sellers.

Bigger lever next: carriers caused 675 late deliveries in Q2, three times more than sellers. Money value is not measured here; Day 3 looks at cost.

NOTES

Data notes and limitations

715

items with impossible dates. Removing them moves the breach rate 0.2 points at most.

15%

limit tested instead of 10%: the same 15 sellers keep most of the harm.

Items

counted, not orders, because the seller deadline is set per item.

What could change the picture

- Reviews are per order but counted per item; two-seller orders share one review.
- The review gap for high-breach sellers is a link, not proof of cause.
- The four-box matrix covers Q2 only; the 20-item, 10% and 3-customer limits are judgment calls.

NEXT · DAY 3 · FINANCE

Is interstate freight cannibalizing marketplace margins?

Day 2 found that most seller delays never reach the customer, and 12 sellers cause 43% of those that do. The next morning, Finance asks a different question: what is all this delivery costing us?

> *"We have complaints about delivery fees exceeding product prices. Are we bleeding cash on interstate logistics? Audit our corridor economics before the board meeting."*
>
> **Henrique Silva**, Chief Financial Officer

SQL queries, results and this deck: **github.com/shatayuroy77-netizen/olist-logistics-margin-audit**